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Turkey

Oilseeds and Products Annual

2015 Turkey Oilseeds Annual

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Report Highlights:

Marketing year (MY) 2015 oilseeds production in Turkey is expected to be 2.1 million metric tons (MMT), down about eight percent compared to a year ago. No change in production support payments and better returns of other crops adversely affected farmers' planting decisions despite the large domestic use and export of oils seeds products. Despite the efforts of the government to increase oil seed production, Turkey continues to be import-dependent due to a net deficit in oilseeds and products. Although Turkey approved three biotech soybean varieties in January 2011 for feed use, low level detections of unapproved varieties continues to cause major problems for imports. Turkey continues to import large quantities of soybean and meal with combined imports reaching a record 2.3 MMT in MY2013. Total imports of soybean and meal are expected continue to increase and reach 2.7 MMT in MY 2014.

Executive Summary:

Turkey's total production of oilseeds subject to this report (soy, sunflower and cottonseed) in MY 2015 is projected to decline about eight percent and remain about 2.1 MMT. The main decline will be in cotton seed production, which is projected to decrease twelve percent. Soybean production will increase seven percent, but sunflowerseed production will decrease about four percent. Low cotton returns in MY 2014 were disappointing for many farmers and will cause a reduction in planting this year. Abundant precipitation during winter months will provide adequate soil moisture for sunflower seed crop, and crop rotation will prevent further declines in production.

The Government of Turkey's (GOT) continuing production premiums for oilseeds and support of quasi-governmental producer co-ops had limited success to persuade farmers to plant more oilseeds.

Despite the projected moderate increase in soybean production, domestic crop remains only a fraction of domestic consumption, which will be about 2 MMT in MY 2014 and about 2.1 MMT in 2015. Over the years, the GOT has supported local production of oilseeds with higher production bonuses, but this year there was no increase for 2014 crops which will have an adverse effect on planting of oilseeds for next season.

Commodities:

Oilseed, Cottonseed

Oilseed, Soybean

Oilseed, Sunflowerseed

Meal, Sunflowerseed

Meal, Soybean

Meal, Cottonseed

Oil, Sunflowerseed

Production

MY 2014 sunflowerseed area and production declined from 690,000 hectares to 530,000 hectares and from 1.4 MMT to 1.2MMT due to farmer dissatisfaction with the returns on the record crop in MY 2013. A minor decline is also foreseen in MY 2015 to 510,000 hectares and 1.15 MMT. Some of the fields in the Thrace region that planted wheat in the crop rotation need to be replanted with sunflowerseed due to floods and excessive rains during the winter months. However, the decline in planting in the Central Anatolian region can't be offset by the anticipated increase in the Thrace region. Better returns on other crops such as corn, sugar beet and potatoes in the Central Anatolian region will cause sunflowerseed planting to drop. Despite the abundant country-wide precipitation during the winter causing higher sub soil moisture, the yields for winter and summer crops in Turkey are also dependent on spring and summer rains.

Lower returns on cotton will cause a small increase in soy planting in the Çukurova region. Overall soybean planting and production is expected to increase to 40,000 hectares and 145,000 MT.

Cottonseed production is expected to decline in MY 2015 due to lower returns following a large crop in MY 2014. Total planting area is projected about 380,000 hectares and production 880,000 MT compared to 430,000 hectares and 1.03 MMT of last year.

Canola production is continuing to increase due to the increasing demand for oilseeds and a new government production bonus. Planting is increasing with new regions are added to Thrace, the largest producing region. Planting in 2014 was about 38,000 hectares up about ten percent and production is expected to be about 85,000 MT. The increase in domestic crushing capacity and need for oils and meals for domestic and export markets fueled Turkey's canola imports, which jumped to 432,000 MT in CY 2014 from 134,000 MT a year ago. The neighboring Black Sea countries were the leading suppliers. Turkey also imported 47,000 MT of canola meals from the Black Sea countries during the year.

The GOT has cancelled the bio-diesel portion of the controversial bio-fuels program which mandated a minimum percent of biodiesel blending. The program would have increased the required one percent blend ratio to three percent in 2014. The aim of the government was to meet some of the demand for imported fuels with locally produced bio-ethanol and bio-diesel products. This would eventually increase the demand and prices of raw materials, hence encourage the planting of oilseeds and supporting the income of farmers. An additional 180,000 MT of vegetable oil was needed to meet the demand for bio-diesel. The vegetable oil industry pointed out that Turkey is already in deficit of oil seeds, fats, and oils, and therefore the move would increase the demand and cost of these products and also import dependence. The industry proposed that a larger amount of used vegetable oil should be collected from households and utilized as fuel. Later the government changed the regulations and required that bio-diesel produced from locally produced oil seeds can be used up to two percent in bio-diesel, but the incentive to use bio-diesel was limited to a two percent discount on the consumption tax. Turkey's total registered bio-diesel production remained at only about 32,000 MT in 2014 due to a regulatory change that eliminated the compulsory blend ratio, and to issues related with used oils and tax incentives that have not attracted producers.

Meal and feed

Total meal production in Turkey is projected to increase about twenty percent in MY 2014 due to the significant increases in cottonseed meal and soymeal production. While cottonseed meal will be up due to a large domestic crop, soybean meal production will also rise as increased industrial use of soy oil improve margins. MY 2015 total meal production is expected to decrease marginally, as the decline in cotton meal will be compensated only partially by the increase in sun meal and soymeal production.

Domestic compound feed production and consumption continued to grow at a healthy clip during 2014. Total production grew about seven percent, reaching 20 MMT, due to increases in all categories and with the addition of on-farm feed production. While poultry and layer feed products increased, about two percent livestock feed and aquaculture feed production went up ten percent. Some of the livestock feed increase is attributed to the addition of some feed operations entering the registered economy.

Total production is expected to continue to increase about seven percent in 2015 due to increases in all categories; poultry (broiler and layer), livestock (dairy and beef), and aqua-culture.

Poultry & Livestock industry

Broiler and egg production had increased with an average of seven percent annually during the last ten years as a result of increasing domestic consumption and exports to neighboring countries. The GOT, in an effort to lower high local red meat prices, had been offering support programs to maintain and increase domestic livestock production as well.

The Turkish poultry industry, which ranks among the world's top ten producers, is the country's largest consumer of protein meal and its demand is projected to continue to grow. The growth in 2014 was about two percent and total broiler meat production is estimated at 1.95 MMT. The industry also projects to grow about two percent in 2015. The negative publicity about biotech poultry feed and unscientific accusations of antibiotic use had prevented the industry from growing faster, and slowed the increase in domestic consumption. However, the increase in exports helped the industry to maintain growth. As a result of increasing production, per capita consumption of total poultry meat (including broilers, village stocks, slaughtered layers and turkey meat) reached 22 kilogram in 2014. The industry aims to reach per capita consumption of 26.5 kilogram by 2023. While growth of domestic consumption is moderate, the industry is dependent on export growth to meet target growth rates.

The layer industry has grown about fifty percent between 2008 and 2012 as a result of both domestic consumption and increases in exports. The industry grew about seven percent in 2013, about six percent in 2014, and total production reached 17.5 billion eggs. Turkey is ranked as one of the top ten largest egg producers in the world. Turkey continues to export about twenty-five percent of its egg production, mostly to neighboring countries.

Domestic consumption of eggs is also increasing, reaching 180 eggs per person. But industry members are continuing to promote programs to reach the European average consumption of 250 eggs. Both industries have the potential for even higher growth, but are constrained by high feed material prices due to the higher commodity prices and problems caused by the 2010 Biosafety Law, which limits the availability of imported feed ingredients.

Although the poultry industry has been growing steadily, the Turkish livestock sector has been up and down over the last several years, along with local milk and meat prices fluctuations. Since 2010, the

Turkish government has introduced a number of incentive programs to increase domestic livestock production and lower local red meat prices. In 2014, both red meat and milk production increased marginally, despite a red meat production increase of about 1.5 percent and milk production of about one percent.

Vegetable oil production and trade

MY 2014 total vegetable oil production is estimated to increase about seven percent to 1.16 MMT. A large increase in soy oil and cotton seed oil compensated for the decline of sunflower seed oil. Total MY 2015 oil production is projected to be about the same as the MY 2014 decline in cottonseed oil will be compensated by the increases in soy and sun oil.

Turkey has a large crushing and refining capacity, and the industry is continuing to invest in new and modern facilities with large capacities to meet the increasing domestic and export demand. Accordingly, the total crushing capacity in 2014 reached 7 MMT and refining capacity 4 MMT.

Domestic consumption of corn oil has declined over the last few years as a result of negative press on biotechnology. Accordingly, calendar year (CY) 2014 corn oil consumption was about 55,000 MT compared 110,000 MT in 2010. Total Turkish corn oil imports in CY 2014 went decreased to 23,000 MT from 38,000 MT last year. The U.S., which used to supply the majority of corn oil imports, supplied only 6,000 MT in 2014. Consumption is expected to recover gradually in coming years if fears surrounding biotech products fade.

Turkish market for U.S. exports of corn-based feed ingredients such as distillers dried grains and solubles (DDGS) and corn gluten feed pellets (CGFP) continued to be significant in 2014, despite market access problems during the second half of the year. Turkey's Biosafety Law bans the import of commodities with unapproved events. Due to severe terms in the legislation, concerned parties are unwilling to register new events, and Turkey has currently approved only 3 varieties of soy and 14 varieties of genetically engineered corn. During the summer of 2014, Turkish poultry operations that wanted to take advantage of lower world prices placed large orders of DDGS from the United States. However, tests detected unapproved traits and the shipments were rejected. As a result, a large number of orders were cancelled. Total DDGS imports in 2014 were 427,000 MT, compared to 490,000 MT a year ago. The U.S. was still the leading supplier with 227,000 MT, but compared to 340,000 MT last year. Other leading suppliers were Russia (77,000 MT), Bulgaria (35,000 MT) and Hungary (34,000 MT).

CGFP imports however increased to 299,000 MT, of which 116,000 MT were from the United States. Ukraine (62,000 MT), Bulgaria (49,000 MT) and Russia (28,000 MT) were the other leading sources. As of now, importers are unwilling to take a chance on the import of DDGS or CGFP from the US and have returned to using higher priced local alternatives, such as sunflower meal, feed wheat, and sugar beet.

Turkey's increase in demand and high domestic feed ingredient prices will continue to encourage demand for these relatively low-cost DDGS and CGFP in the coming years, but imports will be dependent on developments in Turkey's implementation of the Biosafety Law.

Biotech policies

Starting in October 2009, when an initial biotech regulation was adopted in Turkey, and continuing today under a Biosafety Law that was adopted in October 2010, trade in biotech commodities and products containing biotech ingredients have faced periodic bans and continuous uncertainty and risk for importers. Products that do not utilize biotech commodities have also been caught up in Turkey's testing regime that includes a zero tolerance policy. Increasingly, uncertainty and liability are taking their toll on the Turkish market.

Turkey's Biosafety Board approved the first biotech applications in January 2011, allowing the import of three biotech soybean varieties for feed use only. Under the regulations, soy oil produced from the imported biotech soybeans could only be used for feed and limited industrial use, disrupting their use for food.

Despite the approvals, soybean importers are very cautious and have found soybean imports risky as MinFAL decided to apply an unrealistic zero tolerance for any level of unapproved biotech varieties.

The Feed Millers Association that applied and received approval for GM soybeans for feed use has also applied for all EU approved corn events for feed use. The Biosafety Board approved sixteen corn events and rejected six more. A court ruled in December 2013 to repeal the approval of two corn events, bringing the total count to 14.

The Biosafety Law and government statements against biotechnology have generated a fair amount of negative press, contributing to public confusion over the safety and use of agricultural biotechnology. Public hostility to the technology is one of the leading barriers to normalizing trade in biotech commodities, and removing business risks for everyone in the food sector.

OILSEEDS

Sunflower seed PSD

Oilseed, Sunflower seed Turkey	2013/2014		2014/2015		2015/2016	
	Market Year Begin: Sep 2013		Market Year Begin: Sept 2014		Market Year Begin: Sep 2015	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post

Area Planted	700	690	550	530		510
Area Harvested	690	690	530	530		510
Beginning Stocks	177	75	140	78		88
Production	1,400	1,400	1,200	1,200		1,150
MY Imports	583	570	850	700		780
MY Imp. from U.S.	0	0	0	0		0
MY Imp. from EU	350	300	350	350		400
Total Supply	2,160	2,045	2,190	1,978		2,018
MY Exports	33	2	40	5		5
MY Exp. to EU	0	0	0	0		0
Crush	1,980	1,960	2,000	1,880		1,920
Food Use Dom. Cons.	4	3	5	3		3
Feed Waste Dom. Cons.	3	2	3	2		2
Total Dom. Cons.	1,987	1,965	2,008	1,885		1,925
Ending Stocks	140	78	142	88		88
Total Distribution	2,160	2,045	2,190	1,978		2,018
CY Imports	650	545	800	750		800
CY Imp. from U.S.	0	0	0	0		0
CY Exports	35	1	40	5		5
CY Exp. to U.S.	0	0	0	0		0

Production

Sunflowerseed

MY 2014 sunflower seed area and production were 530,000 hectares and 1.2 MMT, following a record planting and crop of 690,000 hectares and 1.4 MMT in MY 2013. Lower returns on sunflowerseed adversely affected planting, particularly in the Central Anatolian region, in MY 2014 causing planting and production decline. In MY 2015 sunflowerseed continued to be disadvantaged against corn in Central Anatolia. In the Thrace region, crop rotation needs are expected to cause a decline in area, despite excessive rains and flooding in wheat fields that need to be replanted with sunflowerseed. Consequently, MY 2015 sunflowerseed area and production are projected to be 510,000 hectares and 1.15 MMT.

In recent years sunflowerseed planting has been shifting from traditional areas such as Thrace and the southern Marmara region, where crops depend on precipitation, to new regions such as Central Anatolia and the GAP region where irrigation is available, providing higher yields and income.

In the Central Anatolian region, farmers are reportedly moving away from planting sunflowerseed in favor of higher returns on other crops such as corn, potatoes and sugar beets. In the Çukurova region, however, good precipitation levels in the winter months will support sunflowerseed planting. The GOT

has not increased production support fees for sunflowerseed for the 2015 crop, which will remain at 300 TL per ton and will not counter the decline.

While sunflowerseed competes for land with canola, malting barley and wheat in the Thrace region, production of sunseed in other regions such as Central Anatolia competes with corn, sugar beet and vegetables and in Çukurova region with wheat. In general Çukurova region has an advantage to grow sunflower seed as the crop matures about a month earlier than in Thrace so farmers are able to take advantage of the higher prices. Increase in production at other regions in recent years caused production in Thrace to decline from 80 percent to about 60 percent of the total.

The abundant crop in the Black Sea region has kept sunflower seed prices about ten percent less than last year in MY 2014. Accordingly, sunflowerseed C&F Turkey prices were about US\$ 395 per MT in September, US\$ 430 in November and about US\$ 445 in February.

The largest Agricultural Sales Cooperative Union, Trakya Birlik, bought about 298,000 MT of 2014 crop, with TL 1,320 per ton (about US\$585) compared to 260,000 MT of 2013 crop with 1,200 TL (US\$ 600) per ton.

Soybean

Soybean PSD

Oilseed, Soybean Turkey	2013/2014		2014/2015		2015/2016	
	Market Year Begin: Sep 2013		Market Year Begin: Sep 2014		Market Year Begin: Sep 2015	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post

Area Planted	35	35	40	35		40
Area Harvested	35	35	35	35		40
Beginning Stocks	460	203	406	284		309
Production	125	130	130	135		145
MY Imports	1,608	1,608	1,600	1,900		2,000
MY Imp. from U.S.	385	350	350	800		750
MY Imp. from EU	0	0	0	0		0
Total Supply	2,193	1,941	2,136	2,319		2,454
MY Exports	7	7	10	10		15
MY Exp. to EU	0	0	0	0		0
Crush	600	600	600	1,000		1,050
Food Use Dom. Cons.	0	0	0	0		0
Feed Waste Dom. Cons.	1,180	1,050	1,100	1,000		1,050
Total Dom. Cons.	1,780	1,650	1,700	2,000		2,100
Ending Stocks	406	284	426	309		339
Total Distribution	2,193	1,941	2,136	2,319		2,454
CY Imports	1,600	2,008	1,500	2,050		2,100
CY Imp. from U.S.	350	492	350	750		800
CY Exports	10	3	10	10		10
CY Exp. to U.S.	0	0	0	0		0

Production

MY 2015 Soybean planting and production projected about 40,000 hectares and 145,000 MT highest of many years. Farmers in the Çukurova region are projected to increase planting due to lower cost of production and low returns in cotton planting last season. MY 2014 Turkish soybean area and production was 35,000 hectares and 135,000 MT. The Çukurova region is the main soy growing area in Turkey, supplying about ninety percent of the total production. Small but increased planting is also seen in the GAP region.

The GOT has been encouraging the increase of oilseeds with higher production bonus payments. Although the soybean production bonus has not been increased in recent years, local planting is increasing due production cost advantages and large domestic demand. The production bonus for soybean has been the same over the last four years at 500 Turkish Lira (TL) per ton (\$195/ton) and the 2014 crop year bonus will be the same despite the fifteen percent devaluation of Turkish Lira against the dollar over the last three months. While the production bonuses have remained the same, the GOT has been providing about \$80 per ton to farmers to use certified planting seeds. Yields are high in the Çukurova region as farmers are likely to be technically proficient and the crop is irrigated.

Consumption (soy)

The Turkish broiler industry had a good start in 2014 but due to the conflict to Turkey's south, shipping difficulties to neighboring countries constrained exports during the summer months. New routes helped to regain some exports later in the year.

Although the industry targeted growth of five percent in 2014, growth was held to about six percent. An additional six percent of growth is also projected in 2015 for total poultry meat production, will reach 2.25 MMT. Increases in domestic demand caused by high red meat prices and exports to the Middle Eastern countries were the main reasons for the increase.

Presently, per capita poultry meat consumption is about 22 kilograms and the goal of the industry is to reach 28 kilogram in ten years. Iraq continues to be the main market for Turkish poultry exports, but producers are targeting new markets such as Saudi Arabia and far-eastern countries for a further increase in exports. Turkey also started to export an increasing amount of mechanically de-boned meat (MDM) to Russia in recent months. Export sanctions between Russia and the West opened up a new venue to the Turkish poultry industry. While egg exports to Russia are still small, poultry meat (all MDM) exports increased significantly and are expected to reach about 150,000 MT annually. MDM sales are particularly important for the Turkish poultry industry as the GOT has forbidden the use of MDM in processed poultry products domestically, and this product was only used in rendering.

Egg production continued to increase as well, reaching 17.5 billion in 2014, compared to 16.7 billion pieces in 2013, and 15.7 billion pieces in 2012. Production of eggs is projected to continue to increase in 2015 and reach 18.5 billion. Domestic egg consumption per person increased in recent years, reaching an estimated 180 pieces in 2014, compared to 120 in 2004. YUMBIR, Turkey's egg industry association, is continuing promotional campaigns to increase consumption of eggs to 250 pieces per person per year. Eggs exports are increasing as well in 2014, which were 4.5 billion pieces compared to 150 million pieces in 2006. Neighboring Middle Eastern countries are the main buyers of Turkish eggs.

Cotton seed

Cottonseed PSD

Oilseed, Cottonseed Turkey	2013/2014		2014/2015		2015/2016	
	Market Year Begin: Oct 2013		Market Year Begin: Oct 2014		Market Year Begin: Oct 2015	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (Cotton)	330	330	430	430		380
Area Harvested (Cotton)	330	330	430	430		380

Seed to Lint Ratio	0		0			
Beginning Stocks	72	15	5	5		5
Production	740	740	1,026	1,030		880
MY Imports	0	0	0	0		0
MY Imp. from U.S.	0	0	0	0		0
MY Imp. from EU	0	0	0	0		0
Total Supply	812	755	1,031	1,035		885
MY Exports	2	0	1	0		0
MY Exp. to EU	0	0	0	0		0
Crush	750	740	880	1,020		870
Food Use Dom. Cons.	0	0	0	0		0
Feed Waste Dom. Cons.	55	10	100	10		10
Total Dom. Cons.	805	750	980	1,030		880
Ending Stocks	5	5	50	5		5
Total Distribution	812	755	1,031	1,035		885
CY Imports	0	0	0	0		0
CY Imp. from U.S.	0	0	0	0		0
CY Exports	2	0	2	0		0
CY Exp. to U.S.	0	0	0	0		0

Production

Turkish cottonseed area and production is projected to decline about twelve percent following a large crop in MY 2014. Planting in the cotton seed areas will be shifting to wheat and corn due to disappointing returns. Total area and production for MY 2015 are projected at 380,000 hectares and 880,000 MT.

Canola

Production

The deficit of local oilseeds and the availability of excess crushing capacity have inspired more farmers to plant canola in recent years. In 2013, planting was 35,000 hectares and domestic production was 80,000 MT. Planting increased in 2014 to 38,000 hectares and production is expected to be 85,000 MT.

Agricultural Sales Cooperative Unions

Trakya Birlik and Karadeniz Birlik, two of the leading Agricultural Sales Cooperative Unions (ASCU's), continue to play a very important role supporting sunflower seed production in Turkey. Other ASCU's includes TARIS (cotton and olive oil), Çukobirlik (cotton and soybean) and Antbirlik (cotton and cottonseed). All of the ASCU's have thousands of members to whom they provide seeds,

fertilizer and low-cost financing prior to planting. The ASCU's then offer attractive prices after the harvest.

Trakya Birlik reported to have purchased 298,000 MT of 2104 crop compared to 260,000 MT of 2013 crop and 206,000 MT in MY 2012. Karadeniz Birlik, however, had to lower its purchases to 17,000 MT due to short supply compared to 55,000 MT last year.

Generally, farmers deliver only enough to the ASCUs to meet their obligations as they preferred to sell more to traders and crushers at higher prices. The combined purchases of the two coops represent about twenty-six percent of the total crops, slightly higher than last year.

Production support

The Turkish government continues to support oilseed production with production premium programs.

According to the 2015 production bonus announcements, the GOT has not increased production bonus levels despite the expectations of farmers, in the view of upcoming elections in June. Below is the list of bonuses for recent years. These production bonus payments on old crop harvests were made in August, just before the harvest. Industry sources insist that for the future of domestic oilseed production it is crucial that sales cooperatives and the government announce adequate domestic price and bonus payments in advance, and pay promptly.

Turkey: Oilseed Production Premiums (TL/MT)*				
Crop	2013	2014	2015	% increase
Sunflower seed	240	300	300	0 %
Soybean	500	500	500	0 %
Canola	400	400	400	0 %
Seed cotton	500	550	550	0 %

* The premiums above are for crops of the previous year, such as 2015 premiums for the 2014 crop

Consumption

The majority of oilseeds and products are utilized for oil, meal and full fat. Growth in domestic soybean and meal consumption will continue to be strong in MY 2014 due to growth in poultry and aqua-culture.

In MY 2014, the local crush is expected to increase as higher industrial use of soy oil is resulting in favorable crushing margins. Utilization of full fat soy will also increase, but modestly. Relatively higher crush compared to earlier years is expected to continue in MY 2015, despite the industry bearing larger stocks of soy oil, if the conditions do not change. Aqua-culture also contributed to the growth in soybean meal consumption, although to a lesser degree.

Cottonseed consumption fluctuates along with the local production, since there is no import and export activity. Consumption will be higher in MY 2014 but is expected to decline in MY 2015.

Total crushing capacity has reached about 7 million MT per year. The new high-capacity modern crushers lower the cost of crushing through economies of scale, forcing smaller crushers with older technology out of business. Low capacity utilization, about 60 percent, also remains a problem for the industry. Turkey traditionally exports oils and fats to neighboring countries, such as sunflower seed oil, corn oil and margarine.

Trade

Turkey's total imports of sunflower seed for crushing for MY 2013 was 570,000 MT, down about eight percent compared to last year. Increasingly, crushing facilities in Black Sea countries are forcing Turkey to import more oil rather than seeds. Moldova (219,000 MT), Bulgaria (139,000 MT), Romania (117,000 MT) and Russia (72,000 MT) were the main suppliers of sunflower seed for Turkey.

During the first four months of MY 2014 total sun seed imports were 197,000 MT. Romania (127,000MT), Bulgaria (34,000 MT) and Moldova (30,000 MT), were the main suppliers of Turkey.

Total soy bean imports during the MY 2013 were 1.6MMT compared to 1.25 MMT of a year ago due to improved domestic crushing margins. Paraguay (492,000 MT), Brazil (415,000 MT) and the United States (350,000 MT) were the leading supplier of soybeans, followed by Ukraine (143,000 MT) and Argentina (127,000 MT).

Soy imports continue to be strong during the first four months of MY2014 reaching 674,000 MT. The United States was the leading supplier with 401,000 MT, followed by Ukraine (242,000 MT), Brazil (136,000 MT), and Paraguay (129,000 MT).

The large increase in crushing capacity and lack of local seeds triggered record imports of canola seeds during 2014, reaching 435,000MT compared to 134,000 MT in 2013. Romania (100,000 MT), Bulgaria (78,000 MT), Russia (73,000 MT) and Ukraine (41,000 MT) were the main sources.

In the medium and long term, rising household incomes will increase the demand for livestock, poultry and aqua-culture products, ensuring continued demand for protein meals for feed. Simultaneously, consumers will demand higher-quality vegetable oils. The GOT continues to support oilseed production and also has ambitious irrigation projects throughout Turkey that will help them meet a larger portion of the demand through oilseeds such as sunflowerseed and cotton seed. But demand for imported soybeans and meal is unlikely to be met by local production. Therefore, Turkey's demand for imported oilseeds, meal, and oils will remain despite relatively high tariffs.

Policy

According to the 2015 customs regime, sunflowerseed imports are subject to a tariff of 27 percent with observation price of \$675 per ton. Soybeans are subject to a zero percent tariff, and cottonseed and canola seeds are subject to a 10 percent tariff.

OIL MEALS

Production

Total meal production in MY 2014 is projected to increase about twenty percent to 2.3 MMT due to significant increases in soybean meal and cotton seed meal. In MY 2015 total meal production will be slightly less at about 2.29 MMT due to a decline in cottonseed meal. Turkey continues to utilize a significant amount of full-fat beans. In MY 2014, about the half of the supplies is crushed and the rest is used for full-fat production.

In addition to traditional meals, Turkey also produced about 284,000 MT of canola meal in CY 2014.

According to industry sources, as of 2014 there are about 480 active feed mills in Turkey with an estimated total capacity of 17 MMT at one shift. There are also on-farm feed mills with total production is estimated about 3 MMT per year. The feed sector has been growing at a remarkable speed; new modern mills with large production capacities are pushing smaller ones out of business. It is estimated that presently 247 factories with old technology and lower capacities are idle. Total Turkish compound feed production has increased on average of eight percent during the last ten years. Presently, Turkish feed industry is among the world's top ten producers and in the top five in Europe. The sector is projected to grow an average of six percent in coming years to reach 30 MMT by 2023.

The main reasons for the growth are:

- the increase in production in all sectors; broiler, layer, dairy, beef and aqua feed, also
- the trend of moving from feed on farm to compound feed and
- a larger percentage of the feed sector moving into the registered economy.

In CY 2014 compound feed production was estimated to increase about seven percent, of which poultry and fish feed production increased about four percent, and livestock feed production was up about ten percent. During CY 2015 an overall increase of seven percent is also projected. Turkey's compound feed exports are only a fraction of its capacity and production due to high raw material costs. Annual exports were down to 225,000 MT in 2014 from 380,000 MT in 2013. Neighboring countries and the Northern Cyprus are the export destinations for Turkish feed.

Note: Post has been adjusting extraction rates to 55 percent, from 38 percent, to better reflect local practices. The majority of Turkish mills are not separating the hulls from the meal while producing sunflowerseed meal. This practice increases the amount of meal produced, but lowers the protein content and the quality of the meal. Due to the low protein content, locally produced sunflower meal is not used in poultry rations, but in livestock rations. As a result, farmers are required to use either larger amounts of sunflower meal or alternative meals such as DDGS and CGFP to obtain the protein amounts needed in their rations.

Sunflower seed meal PSD

Meal, Sunflowerseed Turkey	2013/2014	2014/2015	2015/2016
	Market Year Begin: Sep 2013	Market Year Begin: Sep 2014	Market Year Begin: Sep 2015

	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	1,980	1,960	2,000	1,890		1,920
Extr. Rate, 999.9999	0.	0.5587	0.	0.5529		0.5495
Beginning Stocks	0	99	21	151		145
Production	753	1,095	762	1,045		1,055
MY Imports	720	757	650	700		725
MY Imp. from U.S.	0	0	0	0		0
MY Imp. from EU	0	40	0	50		55
Total Supply	1,473	1,951	1,433	1,896		1,925
MY Exports	0	0	0	1		5
MY Exp. to EU	0	0	0	0		0
Industrial Dom. Cons.	0	0	0	0		0
Food Use Dom. Cons.	0	0	0	0		0
Feed Waste Dom. Cons.	1,452	1,800	1,433	1,750		1,770
Total Dom. Cons.	1,452	1,800	1,433	1,750		1,770
Ending Stocks	21	151	0	145		150
Total Distribution	1,473	1,951	1,433	1,896		1,925
CY Imports	600	773	700	800		825
CY Imp. from U.S.	0	0	0	0		0
CY Exports	0	0	0	5		5
CY Exp. to U.S.	0	0	0	0		0
SME	1,371	1,700	1,353	1,652		1,671

Consumption

In general, total oilseed meal consumption moves in line with developments in the domestic poultry, livestock and aqua-culture sectors. Overall, Turkish poultry meat production tripled in the past ten years and another fifty percent increase is projected in the coming ten years.

In 2015, poultry meat production is expected to increase less than two percent due to a lower increase in domestic consumption and exports. The layer industry is also projected to expand about six percent during the year for the same reasons. The livestock sector (beef, dairy, and aqua-culture) is expected to continue to grow as well.

Turkey canola meal consumption went up more than a hundred percent in 2014 and reached 327,000 MT, including imports and production from locally produced and imported seeds. CY 2013 consumption was about 150,000 MT.

Total consumption of corn based feed ingredients, DDGS and CGFP, were up slightly in 2014. DDGS imports decline somewhat in 2014 to 428,000 MT, while CGFP imports increased to 299,000 MT. Imports of both items are expected to continue in 2015, mostly from conventional varieties providing Non-U.S., sources due to its competitive prices and nutritional qualities.

Trade

Sunflowerseed meal

Turkey's sunflowerseed meal imports were up about seventy-five percent during MY 2013, compared to a year ago, due to abundant supplies in the Black Sea region. Imports reached 757,000 MT compared to 432,000MT in MY 2012. Turkey continued to source its sunflower seed meal from Russia (458,000 MT), and Ukraine (254,000 MT) due to increased availability as a result of increased crushing capacities in these countries.

Imports continued to be strong in first four months of MY 2014, reaching 242,000 MT. Russia (136,000 MT), Ukraine (73,000 MT) and Bulgaria (18170MT) were the main suppliers.

Soybean meal PSD

Meal, Soybean Turkey	2013/2014		2014/2015		2015/2016	
	Market Year Begin: Oct 2013		Market Year Begin: Oct 2014		Market Year Begin: Oct 2015	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	600	600	600	1,000		1,060
Extr. Rate, 999.9999	1.	0.7667	1.	0.75		0.7453
Beginning Stocks	292	292	157	191		181
Production	473	460	473	750		790
MY Imports	744	728	1,000	600		650
MY Imp. from U.S.	242	242	350	100		150
MY Imp. from EU	240	18	240	20		20
Total Supply	1,509	1,480	1,630	1,541		1,621
MY Exports	52	49	30	60		70
MY Exp. to EU	0	0	0	0		0
Industrial Dom. Cons.	0	0	0	0		0
Food Use Dom. Cons.	0	0	0	0		0
Feed Waste Dom. Cons.	1,300	1,240	1,425	1,300		1,370

Total Dom. Cons.	1,300	1,240	1,425	1,300		1,370
Ending Stocks	157	191	175	181		181
Total Distribution	1,509	1,480	1,630	1,541		1,621
CY Imports	1,100	616	1,150	550		600
CY Imp. from U.S.	350	169	350	100		150
CY Exports	45	64	25	80		90
CY Exp. to U.S.	0	0	0	0		0
SME	1,300	1,240	1,425	1,300		1,370

Soybean meal

Domestic production of soy meal in MY 2014 is projected to increase to 750,000 MT due to favorable crushing margins as a result of increasing industrial use of soybean oil. The recent decline in import tax, from 13.5 to 5 percent, also facilitated imports of soy meal, diversifying the EU to sources in South America and the USA.

In MY 2013, Turkey's soymeal imports declined about 28 percent compared to the year before due to a shift in crushing margins favoring soy imports. The U.S. and Argentina were among the leading suppliers with 241,000 MT and 231,000 MT, respectively. Paraguay (132,000 MT), Brazil (105,000 MT) and Spain (17,000 MT) were other leading suppliers to Turkey.

Turkey exported a record amount of soymeal in MY 2103 at about 49,000 MT. Northern Cyprus and Iraq were the main destinations with 17,000 MT each.

Turkey also imported about 157,000 MT of soy meal during the first quarter of MY 2014. Argentina (94,000 MT), Brazil (49,000 MT) and Paraguay (12,000 MT) were the leading suppliers.

Cotton seed meal PSD

Meal, Cottonseed Turkey	2013/2014		2014/2015		2015/2016	
	Market Year Begin: Oct 2013		Market Year Begin: Oct 2014		Market Year Begin: Oct 2015	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	750	740	880	1,020		870
Extr. Rate, 999.9999	0.	0.5541	0.	0.5588		0.5517
Beginning Stocks	0	0	0	0		0
Production	335	410	390	570		480
MY Imports	0	0	0	0		0
MY Imp. from U.S.	0	0	0	0		0
MY Imp. from EU	0	0	0	0		0
Total Supply	335	410	390	570		480
MY Exports	5	4	1	10		12

MY Exp. to EU	0	0	0	0	0
Industrial Dom. Cons.	0	0	0	0	0
Food Use Dom. Cons.	0	0	0	0	0
Feed Waste Dom. Cons.	330	406	389	560	468
Total Dom. Cons.	330	406	389	560	468
Ending Stocks	0	0	0	0	0
Total Distribution	335	410	390	570	480
CY Imports	0	0	0	0	0
CY Imp. from U.S.	0	0	0	0	0
CY Exports	1	10	1	12	15
CY Exp. to U.S.	0	0	0	0	0
SME	267	329	315	454	379

Other

In 2014, Turkey's total imports of DDGS declined about twelve percent to 428,000 MT despite the increase in orders following the world price decline in the summer months. Turkish poultry operation who wanted to take advantage of low world prices placed large orders of DDGS from U.S. suppliers, but inconsistency in biotech testing results caused cargos to be rejected and shipments to be canceled. Due to import restrictions caused by the Biosafety Law, total U.S. exports declined about thirty-three percent to 227,000 MT. According to the law, all biotech varieties need to receive approval from the Biosafety Board for import. The Board has approved only fourteen corn events. Until all events utilized in the U.S. are approved, imports will carry the risk of rejection. Despite the import problems, the U.S. still has fifty-three percent of the import market. Russia (77,000 MT), Bulgaria (35,000 MT) and Hungary (34,000MT) were the other leading suppliers for DDGS.

CGFP improved about sixteen percent in 2014 reaching 299,000 MT. The U.S. was the leading supplier with 116,000 MT. Ukraine (62,000 MT), Bulgaria (49,000 MT) and Russia (28,000 MT) were the other leading suppliers of for CGFP.

Policy

Sunflowerseed meal, cottonseed meal and canola meal import duties are 11.5 percent for EU and EFTA countries, and 13.5 percent for all other sources. The soybean meal import tax is zero from EU sources and Bosnia, but 5 percent from the rest of the world. Both DDGS and CGFP are subject to a 4.3 percent customs tax.

OILS

Production

MY 2014 total domestic production of vegetable oils subject to this report (sunflower seed, cottonseed, and soybean) is estimated at 1.1 MMT, up about four percent compared to MY 2013. The increase is

largely due to the large increases in soy oil and cotton seed oil, despite the decline in sunflowerseed oil. MY 2015 production is forecast to increase three percent, with increases in sun and soy oil compensating for the loss in cotton oil.

Turkey also produced about 217,000 MT of canola oil in CY 2014.

The local industry is continuing to invest in new plants. Accordingly, Turkey's crushing capacity has reached 7 MMT in 2014, compared to 6.4 MMT in 2013. Refining capacity for liquid oils also increased in 2014 to 4 MMT from 3.2 MMT. Turkey also has about an additional 1 MMT capacity for the production of margarine.

Sunflower seed oil PSD

Oil, Sunflowerseed Turkey	2013/2014		2014/2015		2015/2016	
	Market Year Begin: Sep 2013		Market Year Begin: Sep 2014		Market Year Begin: Sep 2015	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	1,980	1,960	2,000	1,890		1,920
Extr. Rate, 999.9999	0.	0.4209	0.	0.4206		0.4219
Beginning Stocks	380	140	345	187		177
Production	845	825	854	795		810
MY Imports	800	766	680	750		780
MY Imp. from U.S.	0	0	0	0		0
MY Imp. from EU	0	0	0	0		0
Total Supply	2,025	1,731	1,879	1,732		1,767
MY Exports	550	584	400	600		620
MY Exp. to EU	0	0	0	0		0
Industrial Dom. Cons.	25	30	25	25		25
Food Use Dom. Cons.	1,075	900	1,185	910		920
Feed Waste Dom. Cons.	30	30	30	20		25
Total Dom. Cons.	1,130	960	1,240	955		970
Ending Stocks	345	187	239	177		177
Total Distribution	2,025	1,731	1,879	1,732		1,767
CY Imports	750	812	700	750		800
CY Imp. from U.S.	0	0	0	0		0

CY Exports	550	665	400	640		650
CY Exp. to U.S.	0	0	0	0		0

Consumption

Sunflower seed oil is the most consumed oil in Turkey and consumption is continuing to increase. The MY 2014 forecasted is to reach 910,000 MT. Higher sunflowerseed oil consumption is based on the improving economy, and negative press about biotechnology that adversely affected corn oil and soybean oil consumption. A moderate consumption increase for sunflower oil is also forecasted for MY 2015, reaching 920,000 MT.